INFINEON TECHNOLOGIES AG

Xetra: IFX | Power semiconductors (silicon, silicon carbide, gallium nitride), car and industrial chips | Neubiberg, Germany

Tommy Lau | 2 November 2026 | Initiation of coverage | Independent research

NO CALL	**Target price:** None (no call)	**Last price:** €50.56 (Xetra close, 30 October 2026)	**Upside:** Base value €55 (+9%)

Infineon's AI power business is now big enough to move it. At €50.56, the shares price in most of what I expect.

Infineon makes the power chips that step grid electricity down to the trickle an AI processor runs on, and it is the largest maker of chips for cars. AI power is about 10% of its sales but about 56% of this year's revenue growth, and its Power & Sensor Systems margin has overtaken Automotive's.

The shares have fallen 43% from their June record with no warning from Infineon. At my multiple the price implies about €2.3bn of AI revenue in fiscal 2027, below the €2.5bn plus already guided. But cars are 46% of sales, and I sit below consensus on the rest of the group.

My call: NO CALL, low conviction. Twenty-one times my fiscal 2027 EPS of €2.63 gives €55, up 9%, inside a range of €30 (down 40%) to €78 (up 53%). The 10 November AI guide is the test.

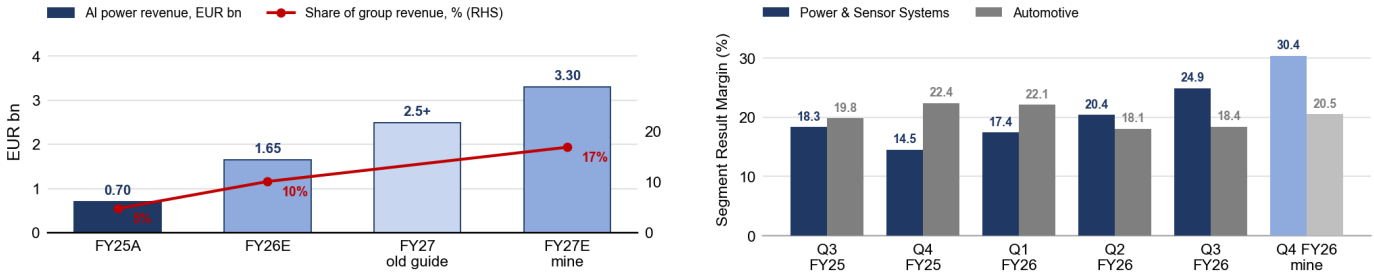
Stock data
LAST PRICE **€50.56, Xetra close 30 October 2026; record close €88.00 on 2 and 3 Jun 2026, intraday high €88.83 on 22 Jun**
MARKET VALUE **€65.8bn on 1,302m shares**
NET DEBT **€5,185m at 30 Jun 2026; about €4.6bn at 30 Sep (my estimate); EV about €70bn**
FY26 GUIDE (5 AUG 2026) **Revenue around €16.3bn; Segment Result Margin around 20%; Q4 €4.7bn at about 23%**
AI DATA CENTRE POWER **Over €0.7bn FY25; more than €1.6bn FY26; €2.5bn plus FY27, which Infineon expects to raise materially on 10 Nov**
P/E **28.9x FY26 and 17.6x FY27 consensus; 19.2x my FY27E**
CONSENSUS (STOCKANALYSIS.COM) **Average target €86.92 (24 analysts); forward P/E 19.1x**
NEXT EVENT **Q4 FY26 results and FY27 outlook, 10 November 2026 (Infineon investor page)**

Key financials (fiscal years to 30 September; adjusted EPS as Infineon defines it)

€ million unless stated	FY24A	FY25A	FY26E*	FY27E*
Revenue	14,955	14,662	16,345	19,593
Growth (%)		-2.0	11.5	19.9
Automotive revenue	7,716	7,402	7,583	8,114
AI data centre power revenue		700+	1,650	3,300
AI share of revenue (%)		4.8	10.1	16.8
Segment Result	3,105	2,560	3,188	4,634
Segment Result Margin (%)	20.8	17.5	19.5	23.7
Adjusted EPS, diluted (€)	1.87	1.39	1.75	2.63
Consensus EPS (€)			1.75	2.87
P/E at €50.56 (x)			28.9	19.2

**FY26E is Q1 to Q3 as reported plus Infineon's Q4 guide, split by segment by me; FY27E is my base case. FY24A and FY25A from the Annual Report 2025; Automotive FY24 and FY25 before a small restatement. AI figures are Infineon's to FY25 (over €700m); the FY26 guide is more than €1.6bn. Consensus from stockanalysis.com (S&P Global), updated 21 October 2026.*

Two charts: AI power is a tenth of sales, and the higher-margin tenth



Left: AI data centre power revenue, €bn, and its share of group revenue; FY25 per the Annual Report 2025, FY27 guide per the Q3 FY26 call, FY26E and FY27E mine. Right: Segment Result Margin by quarter, Power & Sensor Systems against Automotive; Q3 FY25 to Q3 FY26 from Infineon's August 2026 company presentation (restated), Q4 FY26 my split of the 23% group guide.

The thesis: valves for every step from the grid to the chip

Think of the electricity in an AI data centre as water coming down from a reservoir to a tap. At every step the pressure has to come down, from the grid's tens of thousands of volts to below one volt at the processor. Each step needs a valve, and in electricity the valve is a power chip that switches on and off very fast.

Infineon makes valves for every step. It sells all three materials: silicon, silicon carbide for the high voltage steps near the grid, and gallium nitride for the dense middle steps. It says it is in almost every AI platform from every relevant maker, and puts the semiconductor content of an AI rack at US$100 to 250 per kilowatt, about US$175 on average (6 May 2026).

My piece argued that 800 volts reaches the AI rack before it reaches the building. Until 2028 it enters data halls through power racks and row power centres fed from today's AC power rooms; no hall of 10 MW or more is fed by a facility-level rectifier or solid-state transformer before then. Infineon's filings since support that claim and add nothing against it.

For Infineon the claim does two things. **It says where next year's money comes from.** Nvidia's 800 volt power rack is only due to ship from the second half of 2026, and its Kyber racks in 2027, so most of what Infineon sells in fiscal 2027 still goes into today's racks. Infineon does not split AI revenue by voltage. **It also limits one source of upside.** Infineon says solid-state transformers will push content per kilowatt up, and is developing a 2 to 5 MW block on its silicon carbide with SolarEdge (5 November 2025). If my claim is right, that content does not reach large halls before 2028. What protects Infineon in the change of voltage is its own expectation (May 2025) that power chips take a similar or higher share of an 800 volt design.

Is AI power big enough to matter? Infineon sold over €700m of AI data centre power in fiscal 2025, out of €14.66bn of revenue, and guides to more than €1.6bn in fiscal 2026. On my €1.65bn, AI is 10.1% of sales; with the €0.5bn a year of classic data centre power, all data centre power is 13.2%. But AI supplies about 56% of the revenue Infineon adds this year. Power & Sensor Systems, where most AI power sits, grew 34% on a year earlier in the June quarter, at a 24.9% margin against 18.4% in Automotive.

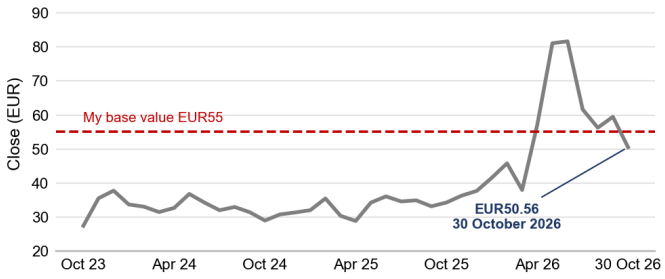
Automotive is still 46% of fiscal 2026 sales on my estimates. S&P Global cut its 2026 light vehicle production forecast in April, and Infineon is cutting back silicon power parts for electric drivetrains. So the answer is yes, with a qualification: each €1bn of AI revenue adds about €0.23 to my fiscal 2027 EPS, one point of Automotive margin about €0.05. Cars set the floor; AI sets the slope.

A check on size. At US$175 per kilowatt, €1.65bn of AI revenue equals the whole power chip content of about 11 GW of AI racks (my arithmetic). Infineon does not sell all of that content, so it serves even more capacity. It already holds a large share; growth from here depends more on the build than on share gains.

Supply, not demand, sets the pace. Infineon is in allocation. Customers have signed, or are negotiating, multi-year capacity reservation agreements worth a high single-digit billion euros in total, with some prepayment. It opened its Smart Power Fab in Dresden this summer and pulled €500m of AI investment into fiscal 2026. The backlog rose from about €21bn in December 2025 to about €25bn in March and close to €30bn in June. The piece's statements about Infineon match the company's own releases.

Variant perception: what the market prices in, and where I differ

At €50.56 Infineon is worth €65.8bn. Net debt was €5,185m in June; less the fourth-quarter free cash flow implied by the guide, I estimate €4.6bn in September, for an enterprise value of about €70.5bn. The shares trade at 28.9 times the fiscal 2026 consensus of €1.75 and 17.6 times the fiscal 2027 consensus of €2.87. The median of eight chip peers is 19.2 times; Texas Instruments, Analog Devices and Monolithic Power trade at 26 to 28 times. At the June peak the shares traded at 30.7 times today's fiscal 2027 consensus.



Date	What happened	Move
4 Feb 2026	Q1 FY26; AI target of about €2.5bn for FY27	down 1.9%
6 May 2026	Q2 FY26; FY26 raised to 16bn+; US$175 per kW	down 2.1%
5 Aug 2026	Q3 FY26; AI above €1.6bn; FY27 to be raised	down 5.7%
2 to 3 Jun 2026	Record close €88.00	Peak
Jul and Oct 2026	Chip sector sell-offs; no warning from Infineon	down 43% from peak

Left: Infineon month-end close, October 2023 to the 30 October 2026 close, against my base value (red). Yahoo Finance, read 2 November 2026. Right: moves from the previous close to the close on results days (releases come before Xetra opens).

So the market now pays for Infineon roughly what it pays for a car and industrial chip maker, with nothing extra for AI. The shares fell on each of the last three results days, even as Infineon raised its guidance or its AI targets each time.

First, the price assumes less AI than Infineon has guided. Holding my other assumptions, at 21 times the price implies about €2.3bn of AI revenue in fiscal 2027. Infineon's indication is €2.5bn plus, and it said in August that the November update would be material. My base case is €3.3bn.

Second, I am below consensus on the rest. My fiscal 2027 EPS is €2.63, 8% below the €2.87 consensus. On my bridge that consensus needs a group margin of about 25% in the first full year of a recovery. I assume 23.7%, up from 19.5% in fiscal 2026 and in line with the 23% guided for the September quarter.

Third, watch the definition on 10 November. Infineon said its updated fiscal 2027 figure will "also include our power solutions for all different forms of datacenter configurations", with CPU power named as a driver. Part of a higher headline may be classic data centre power it already sells, about €0.5bn a year. I compare like with like. The two differences pull against each other, which is why my base value lands close to the price.

Valuation, with the working

I value Infineon on adjusted EPS for fiscal 2027, the year to September 2027, which is the year ahead for most of my twelve months. I build three blocks, Automotive, AI power and everything else, and bridge Segment Result to EPS with €220m of net financial cost and a 22.5% tax rate. The same bridge gives €1.75 for fiscal 2026, equal to consensus, and €1.38 for fiscal 2025 against €1.39 reported. Fiscal 2026 is Q1 to Q3 as reported plus the €4.7bn, 23% Q4 guide.

Fiscal 2027, base. Automotive grows 7% at a 21.5% margin. AI power reaches €3.3bn at a 38% margin, my assumption, since Infineon does not disclose it. Everything else grows 15%, with a full year of the ams OSRAM sensors, at 20%. Revenue is €19.6bn against a €20.0bn consensus; Segment Result €4.63bn; EPS €2.63, 27% of it from AI.

The multiple. I use 21 times: about two turns above the 19.2 times peer median, for EPS growing about 50% next year with the fastest part tied to AI, and five to seven turns below the analog and power specialists, because nearly half of sales go to carmakers. 21 x €2.63 = €55.18, up 9%.

Scenarios: three cases, twelve months out

Case	What happens	FY27 EPS	P/E	Value	Change	Weight
Bear	AI €2.6bn at 33%; cars up 2% at 18.5%; rest up 5% at 15%; margin 19.1%	€1.90	16x	€30	down 40%	25%
Base	AI €3.3bn at 38%; cars up 7% at 21.5%; rest up 15% at 20%; margin 23.7%	€2.63	21x	€55	up 9%	50%
Bull	AI €4.2bn at 40%; cars up 10% at 22.5%; rest up 20% at 22%; margin 25.8%	€3.10	25x	€78	up 53%	25%
Weighted	**25 / 50 / 25**			**about €55**	**up 8%**	

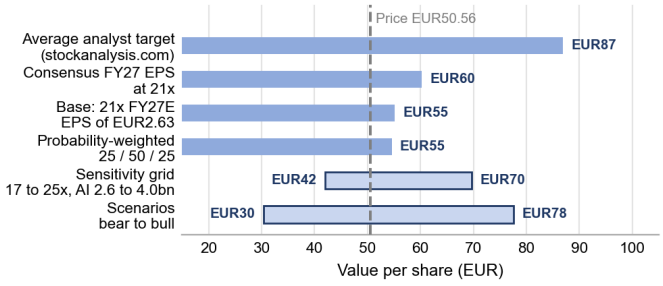
All cases start from my FY26E and use the same bridge. The bear case is close to a 40% fall: AI below Infineon's own floor, cars up only 2% and a car-maker multiple.

Sensitivity: FY27 AI revenue against the multiple

FY27 AI revenue	17x	21x	25x
€2.6bn	€42	€52	€62
€3.3bn	€45	**€55**	€66
€4.0bn	€47	€59	€70

Six of the nine cells sit above the price, and four sit 15% or more above it. Each €1bn of AI revenue is worth about €4.75 a share at 21 times. A long needs the base 15% or more above the price, a short 25% or more below. At 9% above, my call is no call. Consensus EPS at my multiple gives €60, up 19%: the gap between no call and long is my margin assumption.

Valuation cross-check and peers



Company	Fwd P/E	EV/EBIT
Infineon	19.1x	27.8x
STMicroelectronics	18.9x	39.4x
onsemi	18.4x	20.0x
NXP	14.8x	15.5x
Microchip	19.5x	56.7x
Renesas	12.4x	14.4x
Texas Instruments	26.4x	32.9x
Analog Devices	26.0x	42.2x
Monolithic Power	28.5x	52.7x

Left: value per share from each method against the price (grey). Right: forward P/E and trailing EV/EBIT from stockanalysis.com (S&P Global data), read 2 November 2026; peer median forward P/E excluding Infineon 19.2x. Multiples set the range only; no view on the peers' shares is expressed.

Catalysts

When	Event	What I watch
10 November 2026 (announced)	Q4 FY26 results; FY27 outlook in the new three-division setup	FY27 AI guide, like for like against €3.3bn; Q4 margin against about 23%; restated history
Second half of 2026	Nvidia's 800 volt power rack ships	Whether Infineon names 800 volt revenue; content per kW against US$175
Early February 2027 (date not announced)	Q1 FY27 results	Allocation easing or not; Dresden ramp; Automotive orders
During 2027	Capacity reservation agreements	How many are signed, their size and prepayments

Risks: what would hurt the view

The AI build slows. Capacity reservation agreements cover part of future demand, but they are not orders and their terms are not public. The bear case is a 40% fall.

Capacity sets the pace. Infineon is in allocation and ramping Dresden while converting other lines. A slow ramp pushes revenue into later quarters, and about €2.7bn of investment in fiscal 2026 raises depreciation until the lines fill.

Cars and factories. Automotive is 46% of sales. A weaker car market, or a slow industrial recovery, would hold the rest of the group below my margins. Each point of Automotive margin is worth about €1 a share at 21 times.

Rivals and the change of voltage. Monolithic Power, Texas Instruments, Analog Devices and Renesas compete at the processor; onsemi, STMicroelectronics and Navitas in silicon carbide and gallium nitride. At 800 volts Infineon expects its share of content to hold; that is its expectation, not a contract.

Currency and debt. The guide assumes US$1.15 per euro. Net debt was €5.2bn in June, which Infineon puts at a net leverage of 1.4 times.

What would change my mind

Into a call: Like-for-like fiscal 2027 AI revenue guided on 10 November at €3.9 billion or more (about €4.4 billion if the new definition folds in the €0.5 billion of classic data centre power), or the shares closing below about €48, would make it long; a close above about €74 on unchanged estimates would make it short.

My call is wrong if: Fiscal 2027 AI data centre power revenue, on the definition used to 2026, comes in above €4.0 billion with a Segment Result Margin of 25 per cent or more for the group, about my bull case; or AI revenue below €2.5 billion with a group margin under 20 per cent, worse than my bear case.

Conclusion

My piece claimed that 800 volts reaches the AI rack before it reaches the building. Infineon's statements fit it, and the claim tells me what not to pay for: solid-state transformer content belongs after 2028, and fiscal 2027 still rides on today's racks. AI power is now big enough to move Infineon: about 56% of this year's growth and, on my numbers, 27% of next year's profit. After a 43% fall the price assumes less AI than Infineon has guided, but nearly half of sales are cars and my base value of €55 is only 9% above €50.56. My call: NO CALL, low conviction, until the 10 November guide shows how far the AI number really moves.

Appendix: forecast assumptions

Assumption	FY26E	FY27E	Basis
Q4 FY26 revenue by segment, €m	ATV 2,000; GIP 510; PSS 1,780; CSS 410		Infineon's group guide of €4.7bn and its direction by segment
Q4 FY26 margin by segment	ATV 20.5%; GIP 15%; PSS 30.4%; CSS 13%		PSS is the plug to the 23% group guide
AI power revenue, €m	1,650	3,300	Guide more than 1,600; FY27 indication 2,500 plus
AI power margin	38%	38%	Not disclosed; my assumption
Automotive growth / margin	19.8% margin	7% / 21.5%	Replenishment, flat car market
Everything else growth / margin	14.9% margin	15% / 20%	Upcycle, ams OSRAM sensors, lower idle costs
Net financial cost, €m / tax rate	250 / 22.5%	220 / 22.5%	Q1 to Q3 effective tax rates 24%, 23%, 21%
Shares, m	1,302	1,302	Annual Report 2025, after the November 2025 buyback

All my estimates. Full workings, with live formulas, in the accompanying model, 2026-11-02_Infineon_Model.xlsx.

Sources

Infineon Annual Report 2025 (fiscal year to 30 September 2025), for revenue, Segment Result, adjusted EPS, shares, net cash and the AI data centre passage. Infineon analyst call statements of 4 February, 6 May and 5 August 2026 (CEO and CFO prepared remarks), and the Q3 FY26 results release of 5 August 2026, for segment results, AI revenue targets, content per kilowatt, backlog, capacity reservation agreements, guidance, free cash flow and net debt. Infineon company presentation, August 2026, for segment figures by quarter, restated. Infineon investor page, read 2 November 2026, for the results date. Infineon release on 800 volt power with Nvidia, 20 May 2025 (Business Wire); Infineon and SolarEdge release, 5 November 2025. Nvidia Technical Blog, 20 May 2025 and 11 August 2026, for the dates of 1 MW Kyber racks and the 800 volt power rack. Share prices from Yahoo Finance history, checked against stockanalysis.com; consensus, targets

and peer multiples from stockanalysis.com (S&P Global data); all read 2 November 2026. Q4 FY26 segment figures and FY27 estimates are the author's own.

About this note

I wrote this note and built the accompanying model independently. It is not a product of any bank or broker. It tests a claim from my journal piece on 800 volt power for AI racks, thephysicallayer.fyi/journal/powering-the-rack; all notes and their track record are at thephysicallayer.fyi/research. Figures from company filings are labelled as such; derived figures are marked; the forecasts and view are my own estimates and my own view. I hold no position in Infineon. Personal research, not investment advice.

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